
Generative AI's Act Two

From Technology Hammer to Real Value

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September 2023

Six Decades of Technological Progress Converged to Enable Generative AI

Generative AI is not a sudden event — it is the culmination of decades of compounding innovation.

1960s → Present

Moore's Law

6 Decades of Compute

Delivered the compute horsepower to process exaflops of data.

1980s → Present

The Internet

4 Decades of Training Data

Produced trillions of tokens of training data, accelerated by COVID.

2000s → Present

Mobile & Cloud

2 Decades of Distribution

Put a supercomputer in every human's palm.

ChatGPT's launch was the spark that ignited a Cambrian explosion of innovation not seen since the early internet.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B

Startup revenue from generative AI — a milestone that took SaaS years, not months, to reach.

Standout Successes

■	ChatGPT	Fastest-growing application in history, with strong product-market fit among students and developers.
■	Midjourney	Hundreds of millions of dollars in revenue with a team of just 11 people.
■	Character.ai	Popularized AI entertainment and companionship; users spend an average of 2 hours per session.

Despite the rapid traction, many AI companies lack product-market fit or sustainable competitive advantage.

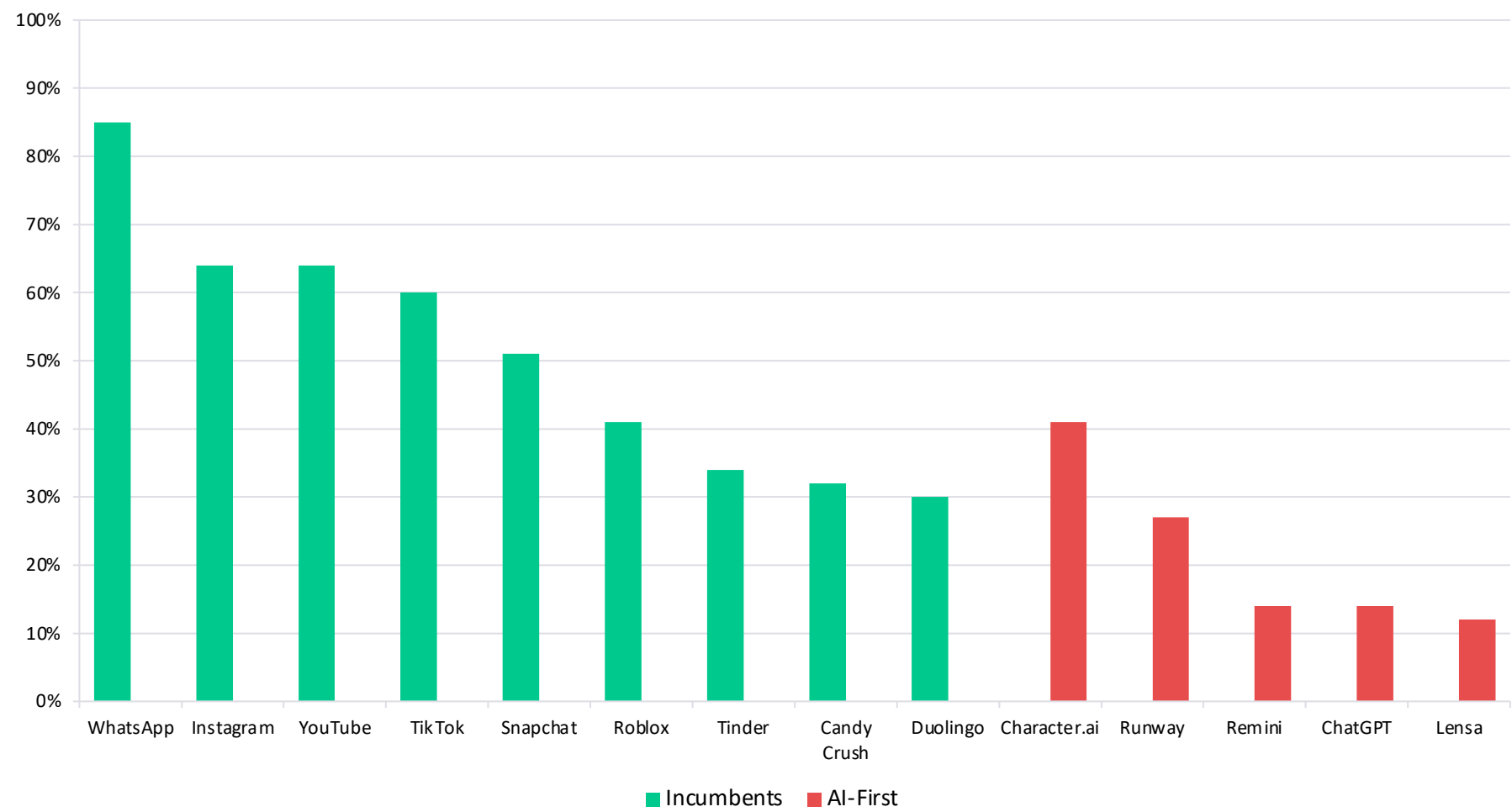
Every company became an "AI copilot." Inboxes filled with undifferentiated pitches for "AI Salesforce" and "AI Adobe." The \$100M pre-product seed round returned.

Cracks appeared:

- Artists challenged machine-generated IP
- Washington debated regulation
- A whisper spread that generative AI was not actually useful — products fell short of expectations with terrible user retention

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Mobile app retention data reveals a stark gap between established consumer apps and AI-first companies.



Incumbent Median

51%

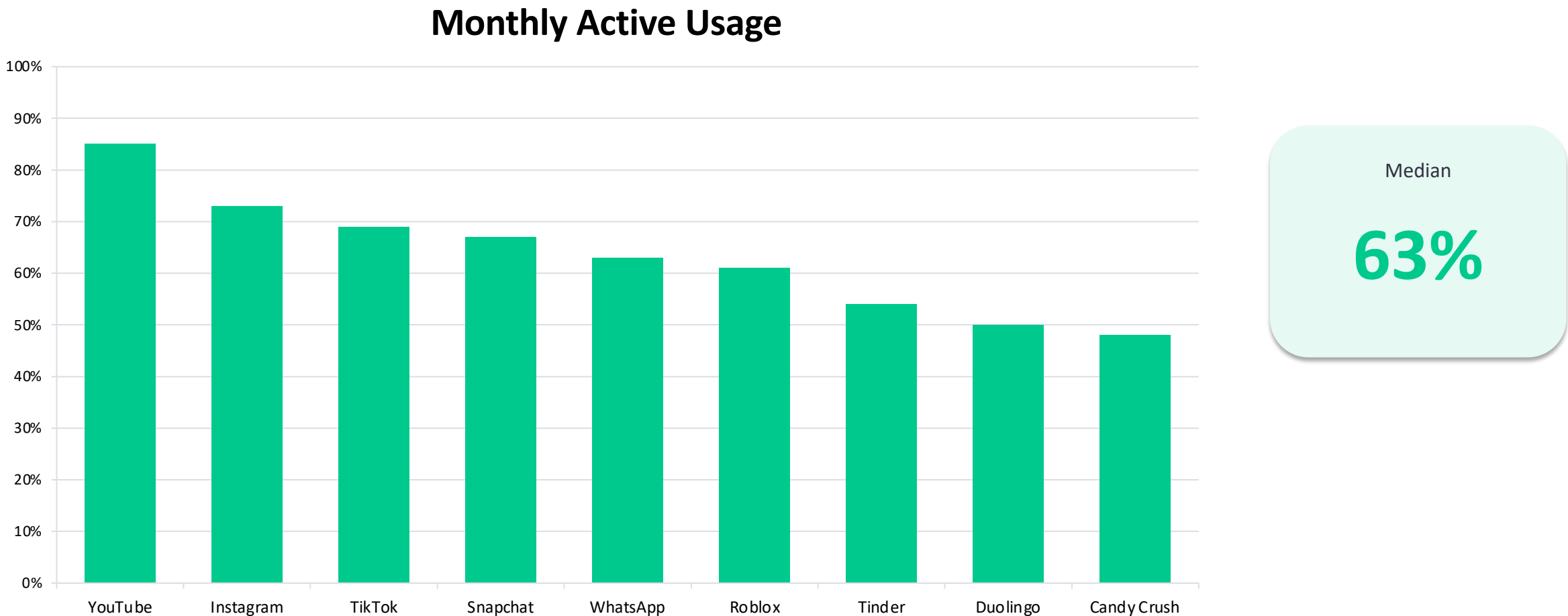
AI-First Median

14%

3.6x disadvantage

YouTube Leads Incumbents at 85% Monthly Active Usage

Incumbent consumer apps set a high engagement bar — 63% median monthly active usage. This is the benchmark AI apps must clear.



Act 1 Was Technology-Out; Act 2 Is Customer-Back

The generative AI market is transitioning from novelty demos to end-to-end solutions that solve real human problems.

ACT 1: TECHNOLOGY-OUT

- Foundation models as the entire solution
- Novelty demos and lightweight wrappers
- Technology looking for a problem
- Poor user retention and stickiness
- Single-modality, thin product surface

ACT 2: CUSTOMER-BACK

- Foundation models as a piece of the solution
- New editing interfaces & sticky workflows
- Solving human problems end-to-end
- Multi-modal, workflow-integrated products
- Deep competitive moats through usage data

Act 2 Exemplars:

Harvey

Custom LLMs for elite law firms

Glean

Enterprise search crawling & indexing

Character

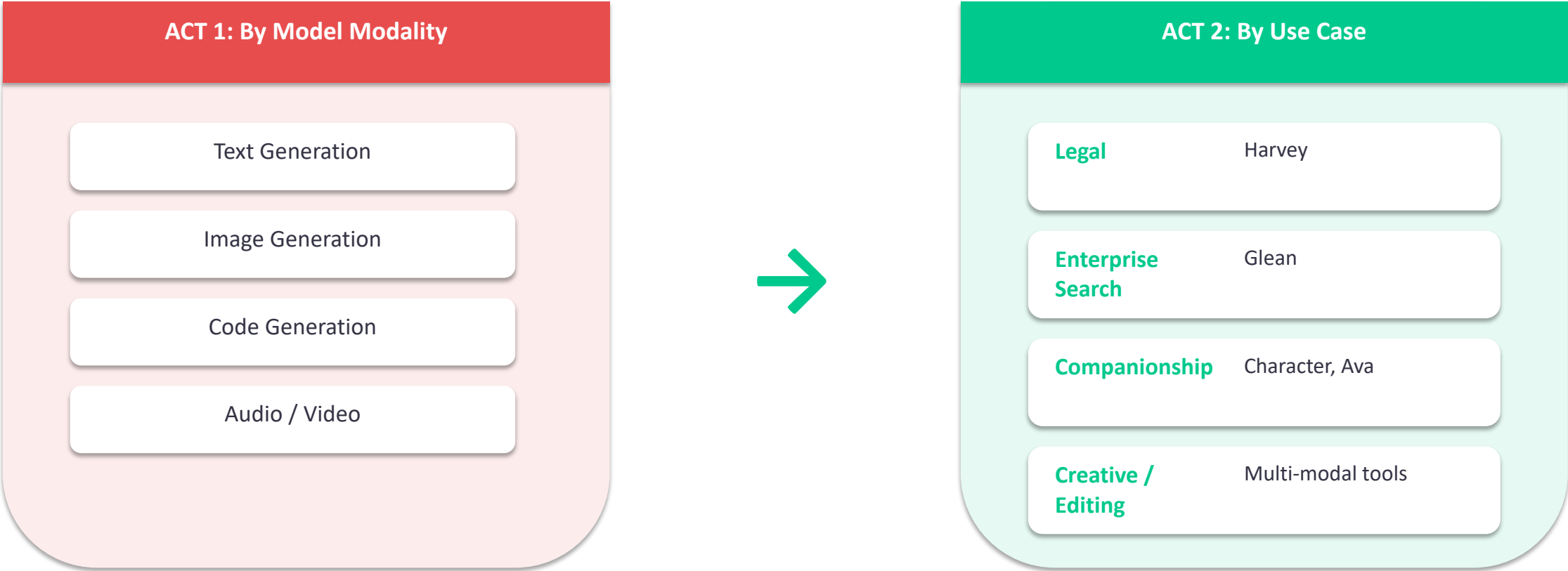
AI companionship & entertainment

Ava

Digital companions

Market Map Reorganized by Use Case, Not Model Modality

The Sequoia generative AI market map now organizes by use case, reflecting the shift from technology hammer to actual value delivery.



This reorganization mirrors the broader Act 1 → Act 2 transition: applications are increasingly multi-modal, organized around the problem they solve, not the model they use.

Key Takeaways: What Separates Winners in Act Two

Actionable implications for builders and investors evaluating generative AI opportunities.

01

Retention is the critical challenge

AI-first apps at 14% median retention vs. 51% for incumbents — a 3.6x disadvantage. Character.ai at 41% is the outlier, suggesting companionship may be the strongest consumer use case.

02

Foundation models should be a component, not the whole product

Act 2 winners integrate LLMs into comprehensive solutions with editing interfaces, workflow integrations, and multi-modal capabilities — not standalone wrappers.

03

Multi-modal, workflow-integrated solutions will win

New editing interfaces make workflows stickier and outputs better. The market map reorganized by use case (not modality) signals this shift.

04

\$1B+ revenue proves real demand exists

Despite hype-cycle skepticism, generative AI surpassed \$1B in startup revenue faster than SaaS — the commercial signal is real even if retention lags.

05

End-to-end problem solvers will define Act 2

Companies solving complete human problems — like Harvey for law, Glean for enterprise search, Character and Ava for companionship — embody the customer-back approach.